COINPICKS · RESEARCH & EDUCATION

The Fed & Macro Regime Pillar Report

Liquidity as the Master Driver — Researched, Scored, and Re-Rated

*Originally written June 19, 2026; scores committed by me on June 19, 2026. Fully re-researched & **updated on July 10, 2026** (previous update July 8, 2026) — the July 10 draft scores are re-rated from the new evidence and are **awaiting my stamp**.*

COINPICKS PILLAR REPORT · WEIGHT: 25% OF MY THESIS

Written June 19, 2026 · Updated & Re-verified July 10, 2026 · Not Financial Advice

The Scores — Committed vs. Drafts

June column committed by me on June 19, 2026. The July 8 and July 10 columns are re-rated DRAFTS from successive re-researches — July 10 is the live draft; neither is stamped yet.

WINDOW	MY JUNE P	JUL 8 DRAFT	JUL 10 DRAFT	QUALITY	IMPACT	SIGNAL	MY CALL
1 month	38	35	**34**	0.85	9	**−2.4**	Bear — hawkish minutes, CPI Jul 14
3 months	40	36	**36**	0.85	9	**−2.1**	Bear — Sept hike ~66% priced
6 months	46	42	**44**	0.80	9	**−0.9**	Mild Bear
1 year	54	52	**53**	0.75	9	**+0.4**	Neutral — short hike cycle, then ease
3 years	61	61	**61**	0.65	9	**+1.3**	Mild Bull — structural accumulate

Draft P (Jul 10): 34 / 36 / 44 / 53 / 61 · **My Weight:** 25% · **My Impact:** 9 · **Formula:** Signal = ((P − 50) ÷ 50) × Quality × Impact. Lineage: June committed 38 / 40 / 46 / 54 / 61 (June 19, 2026) → July 8 draft 35 / 36 / 42 / 52 / 61 → July 10 draft — awaiting my stamp.

THE THREE INPUTS, IN PLAIN ENGLISH

P — the odds the macro regime is *good for crypto* by then — not "the Fed cuts by then." Near-term it's low: the June minutes just dropped the easing bias, July 29 is a ~63–77% hold (relay-dependent), a September hike is ~66% priced, and June CPI lands July 14. Long-term it's above water: the labor market is cracking, and this week the plumbing flipped — the Treasury quietly injected $132B of reserves. Cracks and drains eventually force easing.

Quality — how trustworthy the evidence is. Every source is on the last page — click and judge for yourself.

Impact — 9 out of 10. Liquidity is the tide; it moves the whole market at once.

The Claim

The thesis, and where I differ from the consensus — updated July 10, 2026

The crowd: "Inflation and the Fed are back in play" (Yardeni, July 8) — and the June minutes (released July 8) confirmed it: the Committee **dropped its easing-bias language** and "a few" participants wanted to hike *at the June meeting itself*. Futures now price a September hike at **50.8% for +25bp (~66% including +50bp)**, a ~63–77% hold for July 29 across relays (snapshot dates uncertain; the checkable FedWatch relay shows 62.6% hold), and ~66% odds of at least one hike by year-end — off the >75% July 6 extreme, but cuts are still off the board. The loud story: hawkish Warsh + a US–Iran shooting war = crypto stays dead indefinitely.

Me: near-term the crowd is right — my draft P is 34–36 out to 3 months. Liquidity's tide is still out. My edge is the *sequencing*: the July 2 jobs report shows the labor market visibly cracking (+57K with −74K of revisions and participation at a 2021 low), while the July 9 claims print (215K — no layoff wave) says the crack is slow-motion, not sudden. Warsh has publicly staked his chairmanship on price stability, so the Fed will **hike into that weakness before it eases** — the worst near-term order of events for crypto, but a policy-error hike raises the amplitude of the easing cycle that follows.

My edge: the crowd is pricing the hike; almost nobody is pricing what comes after it — and this week the plumbing flipped from drain to inject. The TGA has been spent down ~$170B from ~$880B a week earlier (H.4.1 Wednesday level; the July 8 check's $919B was a dashboard read — H.4.1 is primary) down to $749.2B. **$749B**, bank reserves jumped **+$132B in one week to $3.099T**, the RRP is empty, QT is dead — and Warsh just chartered a balance-sheet task force (single source) that opens a path to ending runoff earlier. That's why the 6-month and 1-year drafts tick *up* even as the 1-month gets marked down, and why the 3-year P holds at 61.

The Facts

As of July 10, 2026 — hard numbers only, sources on the last page. ★ = new since the July 8 check

- ★ **The June minutes landed hawkish — but no new shoe dropped.** Released July 8, 2:00pm ET: unanimous 12–0 hold at 3.50–3.75%; the Committee **dropped its prior easing-bias language**; "a few" participants saw a case for hiking at the June meeting itself; risks to inflation judged tilted to the upside; Fed staff **raised 2026 and 2027 inflation forecasts** vs. April, citing the Middle East war and AI-buildout demand. The dot split stands: 9 members ≥1 hike by end-2026, 8 no change, 1 cut. No QT acceleration, no new balance-sheet signal.
- ★ **The US–Iran war re-escalated, then cooled — and oil ended *lower*.** The ceasefire collapsed ~July 7–8 (Trump declared it "over"); the US struck ~90 targets in Iran overnight into July 9 (second consecutive day of strikes), retaliating for the Hormuz tanker attacks; Iran fired missiles and drones at US assets in Bahrain, Kuwait, Qatar, and Jordan. Then Qatar/Pakistan mediation headlines flipped markets: Brent ended July 9 around **$76.30 (–2.2%)** — below the ~$78 it traded July 8. Fragile and headline-dependent, but the second oil leg has not stuck so far.
- ★ **A genuine liquidity surprise — the plumbing loosened.** H.4.1 (released July 9, week ended July 8): total assets $6,735.6B (+$11.0B w/w — QT still done); **TGA $749.2B, –$131.0B w/w (Wednesday levels; –$106B on weekly averages)** and down ~$170B over recent weeks from the ~$919B logged at the July 8 check; **bank reserves $3,098.9B, +$132.0B w/w from $2.967T** (from $2.951T); ON RRP $2.75B. Post-quarter-end Treasury spend-down is injecting reserves even while rate policy stays hawkish.
- ★ **Jobless claims say no layoff wave.** 215K for the week ended July 4 (released July 9) vs 218K consensus; prior revised to 217K; 4-week average 218,750; continuing claims 1.814M. This undercuts the "weak June payrolls forces the Fed dovish *now*" case and supported the dollar.
- ★ **Rate odds re-firmed hawkish post-minutes, off the July 6 extreme.** FedWatch as of July 9: September **+25bp 50.8%**, hold 34.0% — **~66% combined odds of at least +25bp** (vs ~58% July 6). July 29: hold ~70–77% across trackers. Year-end ≥1 hike ~66% futures-implied, down from >75% on July 6. *Label:* all FedWatch figures here are relays via crypto/FX outlets, not CME screenshots (the September 50.8% is a single relay, directionally corroborated; the Bitget July-hold flashes are undated); one aggregator showing cut-skewed odds was inconsistent with every other source and with the 2Y at 4.21% — discarded.
- **The labor market cracked — in slow motion.** June payrolls **+57K** vs ~115K consensus (released July 2); April revised –31K and May –43K — **–74K combined**. Leisure/hospitality –61K. Unemployment "fell" to **4.2%** only because participation dropped 0.3pp to **61.5%** — the lowest since March 2021. Wages +0.3% m/m. The 215K claims print says cracking, not collapsing.
- **Core inflation is going the wrong way.** May core PCE **3.4% y/y** (+0.3% m/m, released June 25–26) — the **highest since October 2023**, up from 3.3% at the June check. Headline PCE 4.1%. June CPI lands **July 14**; the Cleveland Fed nowcast says ~**3.96%** headline (consensus ~3.9%, vs May's 4.2%) — previews flag energy correcting lower but core sticky.
- **Warsh is uniformly hawkish.** July 1 at Sintra (first international appearance): inflation "too elevated," no hint on July, and he joined Lagarde/Bailey/Macklem against forward guidance. And the line he's staked the chairmanship on — "*This Committee will deliver price stability*" — comes from the June 17 FOMC statement and press conference (recirculated in July 6 coverage). Rate policy is his primary tool; balance-sheet reduction ambitions are intact but gradual — no asset sales imminent.

- ★ **Warsh chartered five new Fed task forces (July 9)** — communications, **balance sheet**, data sources, productivity/jobs, and inflation frameworks — advancing his "regime change" agenda. *Single source (Bloomberg, July 9)*. A balance-sheet review is a medium-term wildcard for where QT's endpoint lands.
- ★ **Rates firm, dollar easing slightly.** 10Y **~4.58%** July 9 (4.56% July 8, vs 4.53% at the last check); 2Y steady ~4.21%. DXY eased to ~**100.9** July 9–10 (from 101.0–101.1; the late-June 13-month peak of 101.8 is intact) — *exact DXY level is single-source (TradingEconomics)*. The July 7 $58B 3Y auction was strong — reported as stopping through with the highest indirect take since April (per TFTC; auction internals not independently confirmed) — dollar-asset demand is intact.
- **Policy rate and balance sheet: still 3.50–3.75%, still ~$6.74T flat.** QT remains done (H.4.1, July 9: $6,735.6B). **Correction from the forensic audit (stands):** the eSLR recalibration was *finalized Nov 25, 2025* (Federal Register Dec 1, 2025) and has been **in effect since April 1, 2026** — it is a liquidity positive already delivered and in the price, not a pending catalyst.
- ★ **The ETF inflow streak broke.** After three green days totaling ~$510M (July 2–7), spot BTC ETFs went **–$84.9M July 8** and **–$95.3M July 9** (Farside data via multiple outlets). ETH ETFs: +$70.5M July 8, –$52.2M July 9. June remains the worst month on record at –$4.06B; AUM ~$77B as of July 7 (single source; trackers differ on exact AUM). *Label:* a KuCoin flash claiming "+$21.4M on July 8" appears to be July 7 data reported a day late — Farside-based reporting is authoritative here.
- ★ **Prices whipsawed with equities, not gold:** the overnight July 9–10 whipsaw printed **~$61.7–61.9K** (tracker-dependent) on the strikes, then recovered fully on de-escalation to ~**$64.3–64.4K** the morning of July 10; ETH ~$1,795–1,796. Both up ~2.8% Fri–Fri per Yahoo (7-day trackers show ~+4%). BTC traded as a risk asset straight through the war headlines — gold slid while crypto bounced.

The Prize

Illustrative only — not price targets, not advice

The canonical anchor: **2020-21 ZIRP + QE** ran BTC ~$3,800 → $69,044 (~15–18×) — a unique COVID/zero-rate/open-ended-QE setup, not a repeatable base case. The **2024-25 cuts** ran ~$60K → a ~$126K ATH (Oct 6, 2025) — but that top came on a non-Fed tariff shock and has since roughly halved to the low-$60Ks (~$64K on July 10). From here, a retest of the $126K high ≈ **+96%**.

Discount it hard, twice. First: easing is not an automatic catalyst — the last cycle topped on a non-Fed shock, and a Dec 10, 2025 cut drew a sell-the-fact dip. Second: the pivot that unlocks any of this remains **pushed out** — the Fed is priced to hike before it eases. The Prize doesn't feed the math — it tells you what the 3-year lean is worth acting on when the tide finally turns.

The Other Side

The strongest honest case my bearish lean is wrong

- **The labor market may force the Fed's hand faster than anyone prices.** +57K with –74K of revisions and participation at a 2021 low is not "solid but cooling" anymore — one more print like that and the hike is off the table. (The honest counter to my counter: claims at 215K show no layoff wave yet, so the crack is slow.)
- **The inflation data could break my way this month.** June CPI nowcasts ~3.96% — cooling — previews flag energy correcting lower, and Brent just closed *below* its pre-escalation level despite two days of US strikes. A soft July 14 CPI plus a soft July 25 core PCE flips the board before the July 28–29 FOMC.
- **The liquidity floor is rising while everyone watches the rate.** Reserves +$132B in one week to $3.099T on the TGA spend-down; RRP exhausted; net liquidity *improved* — the opposite of the tightening story. If the drawdown keeps running, crypto gets a tailwind with zero Fed action.

- **Real bids exist in the low-$60Ks.** The July 2–7 green streak (~$510M over three days, including the biggest daily inflow in over a month) showed capitulation-scale June outflows may have marked exhaustion — though the streak broke July 8–9 (–$180M combined), so this leg of the bull case just got weaker.
- **Crypto keeps decoupling from the Fed — symmetrically.** The Oct 2025 top and the May 2026 selloff weren't Fed-driven; and this week BTC fell on the strikes and recovered fully on mediation headlines within ~24 hours — trading like a risk asset, not a macro casualty.
- **Latent liquidity positives are queued — and one just fired:** the $919B TGA "eventually gets spent down" card is being played right now ($749B and falling), Waller is publicly fighting scarce-reserve regimes, and Warsh's new balance-sheet task force (single source) opens a path to ending QT earlier. (The eSLR recalibration — once on this list — was finalized Nov 2025 and took effect April 1, 2026; that card has been played.) The plumbing can loosen without a single rate cut.

The Triggers

Dated events — some prove the claim right, some prove it wrong

DATE	EVENT	MEANS
July 14	June CPI (nowcast ~3.96%, consensus ~3.9%)	The pillar's next binary — soft print = look-through case alive, re-rate 1-month up · hot print = September hike locks in
July 17	Iran oil-waiver wind-down deadline	Supply actually tightens — the energy spike gets a second leg into July data (so far reversed: Brent $76.30, below pre-escalation)
Every Thursday	H.4.1 + jobless claims	Does the TGA spend-down keep injecting reserves · do 215K claims start climbing toward a layoff wave
July 25	June PCE (before the FOMC)	Core 3.4% still rising vs rolling over — the Fed's actual gauge decides the tone
July 28–29	FOMC (~70–77% hold priced)	Surprise hike = re-rate 3/6-month down hard · any dovish tilt = re-rate up
September FOMC	Hike 50.8% at +25bp; ~66% incl. +50bp	A hike into a cracking labor market = policy error confirmed — 3-year conviction rises
Aug 7 (payroll Friday)	Second straight sub-100K print	The easing case comes forward — re-rate the 1-year up

The flip line: soft July 14 CPI + no September hike + ETF inflows resuming = the headwind is fading — re-rate the 1/3-month up toward neutral. If the TGA-drawdown reserve build keeps running on top of that, the liquidity floor rises with zero Fed action. The other way: a September hike delivered into this labor market confirms the policy-error path — near-term Bear stands, and the 3-year structural-accumulate gets *more* conviction, not less.

My Decision

◷ UPDATED DRAFT — JULY 10, 2026 · AWAITING MY STAMP

Draft P: 34 / 36 / 44 / 53 / 61 · My Weight: 25% · My Impact: 9

These are re-rated draft scores from the July 10 re-research — the 1-month marked down on the hawkish minutes, the broken ETF streak, and a ~4% CPI due July 14 into a ~66%-priced September hike; the 6-month and 1-year marked *up* on the reserve rebuild (+$132B w/w to $3.099T), the oil cool-off, and the short-hike-cycle read; the 3-year holds at 61 on the cracking labor market and the plumbing that eventually forces the Fed's hand. The June committed scores (**38 / 40 / 46 / 54 / 61**, committed June 19, 2026) remain the last human-stamped values.

Override any P and re-stamp — the master blend recomputes.

What Changed Since Last Check

Re-researched July 10, 2026 (previous update July 8, 2026)

- ★ **The minutes hawkish-surprise trigger FIRED (moderate).** Easing-bias language dropped, "a few" wanted a June hike, staff raised 2026–27 inflation forecasts — hawkish confirmation, but no QT acceleration and no unanimity, so not a regime worsening beyond what was priced.
- ★ **The oil-shock escalation trigger did NOT fire — it reversed.** Despite the ceasefire collapsing and two consecutive days of US strikes (~90 targets, Iranian missiles at US assets in four countries), Qatar/Pakistan mediation headlines pushed Brent to ~$76.3–77.0 by the July 9 close (settle $76.30 per CNBC) — *below* the July 8 ~$78. Fragile and headline-dependent.
- ★ **The liquidity-deterioration trigger fired in the OPPOSITE direction.** H.4.1: TGA ~$880B → $749B w/w (H.4.1), bank reserves +$132B w/w to $3.099T, RRP exhausted at $2.75B. Near-term net liquidity improved — the first genuinely bullish plumbing print of this cycle.
- **The Sept-hike->50% trigger FIRED:** 50.8% for +25bp, ~66% combined (July 9) — though year-end ≥1-hike odds eased to ~66% from the >75% July 6 extreme. July 29 hold intact at ~70–77%. Jobless claims 215K — no layoff wave.
- **The ETF-flow recovery broke:** –$84.9M July 8 and –$95.3M July 9 after the ~$510M 3-day streak. BTC whipsawed $61.7–61.9K (overnight July 9–10 low) → ~$64.3K (July 10 AM), +~2.8% w/w; 10Y 4.53→~4.58%; DXY 101.1→~100.9. Warsh named five task forces including balance sheet (single source, Bloomberg).
- **Score re-rates (July 8 draft → July 10 draft):** 1-month 35→**34** — hawkish minutes + broken ETF streak + ~4% CPI due July 14 into a ~66%-priced September hike; the liquidity add and oil relief only partially offset · 3-month 36→**36** (hold) — the September hike sits inside this window but is now largely priced; the TGA-drawdown tailwind roughly cancels the hawkish-path confirmation · 6-month 42→**44** — peak hawkishness likely lands by year-end while reserves rebuild and the balance-sheet task force opens a path to ending QT earlier · 1-year 52→**53** — sub-surface labor weakness plus fading energy base effects argue the hike cycle is short and reverses within the year · 3-year **61** (hold) — structural story unchanged; nothing this week moves a 3-year view. Draft only — awaiting my stamp.

Sources

Retrieved & graded July 10, 2026 — click and judge the quality yourself. Official data first, then reporting, then prices & flows, then rate odds (market-implied sentiment, not fact).

- **Official data:** Fed — June 16–17 FOMC minutes (released July 8) · Fed — H.4.1 balance sheet (rel. July 9: $6,735.6B; TGA $749.2B; reserves $3,098.9B; RRP $2.75B) · DOL — weekly jobless claims (rel. July 9: 215K) · Fed — June 17 FOMC statement · Fed — Warsh press-conference transcript (June 17) · BLS — Employment Situation, June 2026 (released July 2) · BEA —

Personal Income & Outlays, May 2026 (core PCE 3.4%) · BLS — CPI release schedule (June CPI: July 14, 8:30am) · Cleveland Fed — inflation nowcast (June headline ~3.96%).

- **The reporting:** Bloomberg — minutes: "a few" saw case for June hike · CNBC — June minutes coverage · Yahoo/Reuters — minutes: easing bias dropped · Bloomberg — Warsh's five task forces (July 9; single source) · Bloomberg — claims 215K, layoffs low · CNBC — oil July 9 (Brent ~$76.3–77.0 July 9; settle $76.30 per CNBC, TradingEconomics $76.97) · CNBC — oil July 8, Hormuz escalation · Al Jazeera — US strikes Iran (July 8) · BloombergNEF — $91 Brent disruption scenario · CNBC — June jobs miss (+57K, −74K revisions) · Indeed Hiring Lab — participation 61.5% · CNBC — May PCE (core 3.4%, highest since Oct 2023) · CNBC — Warsh at Sintra (July 1) · CNN — Warsh's first global speech · Yahoo Finance — "This Committee will deliver price stability" · Bloomberg — Yardeni: "inflation, Fed back in play" (July 8) · TFTC — 3Y auction stops through (auction internals not independently confirmed) · WisdomTree — Warsh's balance-sheet reality check · Federal Register — eSLR final rule (Dec 1, 2025; effective Apr 1, 2026) · Continuum Economics — June CPI preview · Morningstar — CPI forecasts.
- **The prices & flows:** Yahoo Finance — BTC ~$64.3K, ETH ~$1,796 (July 10 AM) · Fortune — BTC price July 10 · CoinDesk — crypto/stocks tumble on ceasefire collapse (July 8) · CoinDesk — BTC/ETH steady, gold slides (July 9) · Farside — BTC ETF flow table (authoritative) · FinanceFeeds — −$84.9M July 8 · Blockonomi — outflows deepen July 9 (−$95.3M) · TechTimes — the ~$510M 3-day streak recap · KuCoin — June ETF outflows −$4.06B, worst month on record · 99Bitcoins — June outflow detail, AUM ~$77B (single source; trackers differ) · CoinDesk — 10-day outflow streak ends (+$223.5M, July 2) · Crypto Briefing — IBIT +$209.4M (July 6) · Trading Economics — 10Y ~4.58% (July 9) · Trading Economics — DXY ~100.9 (July 9–10; single source for exact level) · PrimeRates — yield curve (July 8 data).
- **The odds (market-implied, not fact):** CME FedWatch — the tool itself · FXEmpire — Sept +25bp 50.8% (July 9; single relay, directionally corroborated) · KuCoin — FedWatch relay (July 8: July hold ~70.1%) · Bitget — July hold 73.3%/77% flashes (undated) · IG — hawkish minutes read-through (July 9). All FedWatch figures are relays via crypto/FX outlets, not CME screenshots; one cut-skewed aggregator (rateprobability.com) was inconsistent with every other source and discarded.